2. **Veblen or Demonstration effect:** Veblen has explained the exceptional demand curve through his doctrine of conspicuous consumption. Rich people buy certain goods because it gives social distinction or prestige. For example, diamonds.

3. **Ignorance**: Sometimes, the quality of the commodity is judged by it's price. Consumers think that the product is superior if the price is high. As such they buy more at a higher price.

4. **Speculative effect:** If the price of the commodity is increasing then the consumers will buy more of it because of the expectation that it will increase still further. Eg stock markets.

5. **Fear of shortage:** During times of emergency or war, people may expect shortage of a commodity and so buy more.

## 2.8.7 Extension and Contraction of Demand

The changes in the quantity demanded for a commodity due to the change in its price alone are called "Extension and Contraction of Demand". In other words, buying more at a lower price and less at a higher price is known as "Extension and Contraction of Demand".

## 2.8.8 Movement along Demand Curve

In the diagram 2.7, at point A, the price $OP_2$ and quantity demanded is $OQ_2$. When price falls to $OP_3$ (movement along the demand curve A to C) the quantity demanded increases to $OQ_3$. If price rises

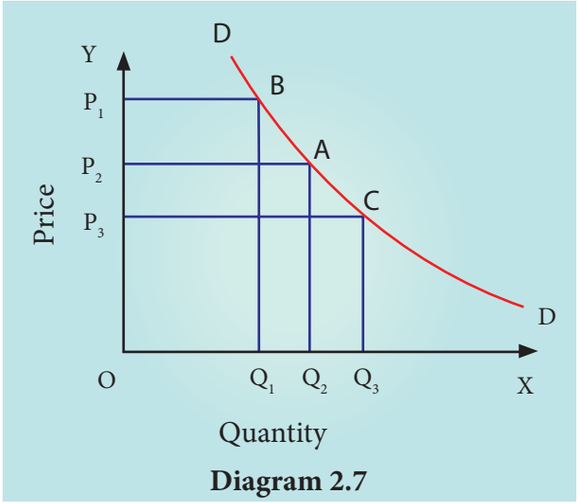



**Diagram 2.7**

to $OP_1$ (movement from A to B) quantity demanded decreases to $OQ_1$.

## 2.8.9 Shift in the Demand Curve

A shift in the demand curve occurs with a change in the value of a variable other than its price in the general demand function. An increase or decrease in demand due to changes in conditions of demand is shown by way of shifts in the demand curve.

On the left hand side of the diagram 2.8, the original demand curve is dd, the price is $OP_1$ and the quantity demanded is $OQ_1$. Due to change in the conditions of demand (change in income, taste or change in prices of substitutes and /or complements) the quantity demanded decreases from $OQ_1$ to $OQ_2$. This is shown in the demand curve to the left. The new demand curve is $d_1d_1$. This is called decrease in demand.

On the right hand side of the diagram 2.8, the original price is $OP_1$ and the quantity demanded is $OQ_1$ . Due to changes in other conditions, the quantity purchased has increased to $OQ_2$ . Thus the demand curve shifts to the right $d_1d_1$. This is called increase in demand.



Chapter-02.indd 36 20-02-2020 11:46:24